

obtain loans and to operate in the world of internet commerce. Further, many consumers must resort to payday lending operations to cover liquidity shortfalls. Being banked, however, does not guarantee access. For example, a bank may not want to bother with the small loan that a new business requires. Instead, it may suggest a credit card loan, which carries with it a borrowing rate well above 20 percent per year – a high hurdle rate for finding profitable investment projects.

3. ***Inefficiency.*** A centralized financial system has many inefficiencies. Perhaps the most egregious example is the credit card interchange rate that causes consumers and small businesses to lose up to 3 percent of a transaction's value with every swipe due to the payment network oligopoly's pricing power. Remittance fees are 5–7 percent. Time is also wasted in the two days it takes to “settle” a stock transaction (officially transfer ownership). In the Internet age, this seems utterly implausible. Other inefficiencies include costly (and slow) transfer of funds, direct and indirect brokerage fees, lack of security, and the inability to conduct microtransactions, many of which are not obvious to users. In the current banking system, deposit interest rates remain very low and loan rates high because banks need to cover their brick-and-mortar costs. The insurance industry provides another example.